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**ay Dalio, the
Founder of the
world's largest
hedge fund
Bridgewater**

Associates, is one of the most important voices in global financial markets. *TIME* magazine lists him among the 100 most influential people on the planet, and he is widely known as the 'Steve Jobs of investing', such is the inventiveness he brought to fund management. In an exclusive interview with *Business Today's* Global Business Editor *Udayan Mukherjee*, Dalio talks about the burning issues in the global economy today and warns of dire days ahead. Edited excerpts:

Q: Ray, they call you the Steve Jobs of investing—does that annoy you? Or do you take it as a compliment?

A: I was an admirer of Steve. He was an independent thinker who came up with great and different ways of doing things that contributed a lot to what our world is like today. Wow! To be compared to Steve Jobs is an honour that I really don't deserve, but I'm happy to get.

Q: Okay, let us take it from the top; over the last few days, all the chatter in global financial markets has been about what the US Federal Reserve Governor told us. Was he signalling that rates will not go up a lot, that they're almost done? Perhaps it all boils down to the genesis of the problem, which is the sheer amount of debt and liquidity pumped into the global system over the last decade. Do you think the US Federal Reserve and central banks across the world can successfully dial back these excesses?

A: I think in answering that question, we have to look at three factors. The normal economic factors, which had been anything but normal, particularly the enormous creation of debt. And then the monetisation of that—in other words, the central bank printing money and buying the debt. And so, we're facing that big

problem today. But at the same time, we are going through two other factors that are disruptive and related. One, a great internal conflict due to large wealth gaps that is producing populism of the left and populism of the right—at war with each other—which we can see in elections all around and particularly in the way the United States is fragmenting. They're not just money issues, but ballot politics. And second, we have, internationally, this great power conflict. No longer is the United States the sole dominant power. We have a great rivalry, bordering on war, between China and the United States. And that is having disruptive effects, economically disruptive effects, for example, in how it makes supply chains more difficult and so on. And that adds to inflation. Of course, it creates other worries as well. So, it's the interaction of those three things that is creating a much bigger problem.

So as far as your question goes, on monetary policy... how high will interest rates go and what is the Fed looking to do? First, let's go back to basics. I think we're going to have an inflation rate that is probably in the vicinity of 5 per cent. But it's a very uncertain inflation rate because of all the shocks that we have around it. But let's say 4.5-5 per cent is probably what it settles down at, after all this tightening. The real interest rate, in other words, the rate above inflation is in the vicinity of 1.5 per cent. So that would mean that they would eventually need to be approaching a 6 per cent

"There are so many demands on money. We need money for poverty alleviation, building infrastructure, repairing Ukraine, spending money for climate change. An individual might ask—How much money do we have? And what should we spend it on?"

risk-free rate. And the Federal Reserve will put the short-term rate up towards that level, which is very harmful, very damaging to the economy. But what the Federal Reserve is trying to do is balance those, having an interest rate that's high enough for the creditor, but not so high for the debtor. And